

too hard, too messy, too complex if we try to pick apart how much of an outcome was a conscious decision versus a risk.

Say I buy a stock, and five years later it's gone nowhere. It's possible that I made a bad decision by buying it in the first place. It's also possible that I made a good decision that had an 80% chance of making money, and I just happened to end up on the side of the unfortunate 20%. How do I know which is which? Did I make a mistake, or did I just experience the reality of risk?

It's possible to statistically measure whether some decisions were wise. But in the real world, day to day, we simply don't. It's too hard. We prefer simple stories, which are easy but often devilishly misleading.

After spending years around investors and business leaders I've come to realize that someone else's failure is usually attributed to bad decisions, while your own failures are usually chalked up to the dark side of risk. When judging your failures I'm likely to prefer a clean and simple story of cause and effect, because I don't know what's going on inside your head. "You had a bad outcome so it must have been caused by a bad decision" is the story that makes the most sense to me. But when judging myself I can make up a wild narrative justifying my past decisions and attributing bad outcomes to risk.

The cover of *Forbes* magazine does not celebrate poor investors who made good decisions but happened to experience the unfortunate side of risk. But it almost certainly celebrates rich investors who made OK or even reckless decisions and happened to get lucky. Both flipped the same coin that happened to land on a different side.

The dangerous part of this is that we're all trying to learn about what works and what doesn't with money.

What investing strategies work? Which ones don't?

What business strategies work? Which ones don't?

How do you get rich? How do you avoid being poor?

We tend to seek out these lessons by observing successes and failures and saying, "Do what she did, avoid what he did."

If we had a magic wand we would find out exactly what proportion of these outcomes were caused by actions that are repeatable, versus the role